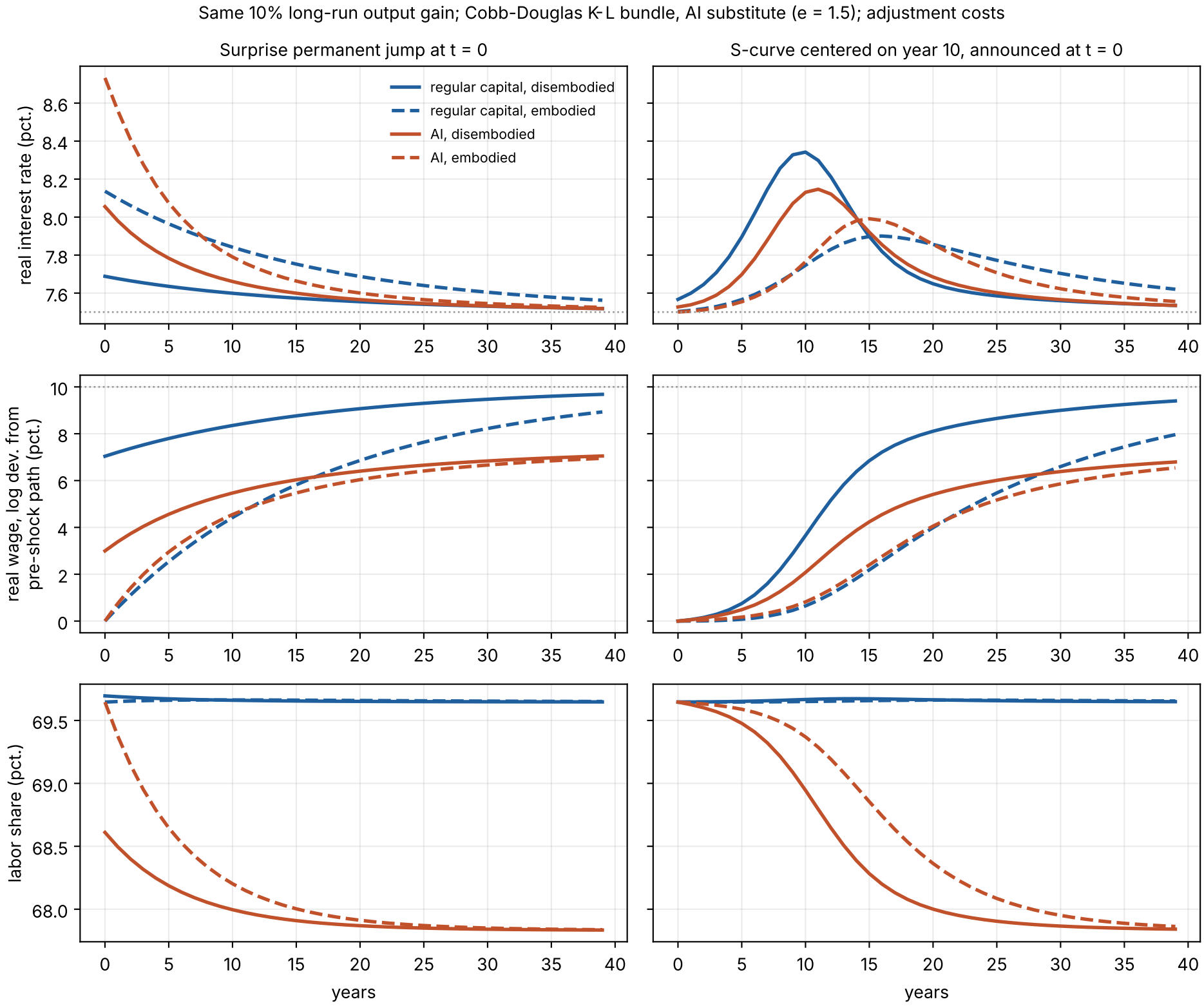
Same 10% long-run output gain; Cobb-Douglas K-L bundle, AI substitute (e = 1.5); adjustment costs
Surprise permanent jump at t = 0
S-curve centered on year 10, announced at t = 0
regular capital, disembodied
regular capital, embodied
AI, disembodied
AI, embodied
real interest rate (pct.)
real wage, log dev. from pre-shock path (pct.)
labor share (pct.)
years
years